Q4 2025 SaaS Performance Report

Prepared by the Revenue Operations Team — January 8, 2026

Executive Summary

In Q4 2025, the company grew Annual Recurring Revenue (ARR) to $18.4 million, a 22% increase quarter-over-quarter. Net revenue retention improved to 114%, driven primarily by expansion revenue within the Enterprise tier. Customer acquisition cost (CAC) payback period shortened from 14 months to 11 months following the launch of the self-serve onboarding flow in October.

Key Metrics

Annual Recurring Revenue (ARR): $18.4 million, up from $15.1 million in Q3 2025.

Net Revenue Retention (NRR): 114%, up from 108% in Q3 2025.

Gross Churn Rate: 2.1% monthly, down from 2.8% in Q3 2025.

Customer Acquisition Cost (CAC): $4,200 per Enterprise customer, $380 per Self-Serve customer.

Total Active Customers: 1,847, an increase of 203 net-new customers in the quarter.

Segment Performance

Enterprise Tier

The Enterprise segment contributed $11.2 million of total ARR, growing 18% quarter-over-quarter. This growth was driven by 14 new logo wins, including three Fortune 500 accounts, and expansion contracts within the existing customer base averaging a 31% seat increase upon renewal.

Mid-Market Tier

Mid-Market ARR reached $5.1 million, up 26% from Q3. The sales team attributes this acceleration to the new usage-based pricing model introduced in September, which lowered the barrier to entry for teams between 20 and 100 seats.

Self-Serve Tier

Self-Serve ARR grew to $2.1 million, a 34% increase, following the October launch of automated onboarding. Conversion from trial to paid improved from 9% to 15% over the quarter.

Risks and Watch Items

- Support ticket volume grew 40%, outpacing headcount growth in the support team.
- Two Enterprise renewals in Q1 2026 are flagged as at-risk due to executive sponsor turnover.
- Infrastructure costs rose 12% due to increased usage-based tier adoption.

Outlook for Q1 2026

The team is targeting $21 million in ARR by the end of Q1 2026, representing 14% sequential growth. This will be driven by the planned launch of the Team Analytics add-on in February and continued investment in the Mid-Market sales motion.